Execution Version

GUARANTY OF PAYMENT AND PERFORMANCE OF GROUND LEASE OBLIGATIONS

THIS GUARANTY ("**Guaranty**") is made as of December 19, 2007, by **WILMETTE HOCKEY ASSOCIATION, INC.**, an Illinois not-for-profit corporation ("**Wilmette Guarantor**") and **WINNETKA HOCKEY CLUB, INC.**, an Illinois not-for-profit corporation ("**Winnetka Guarantor**") (each individually a "**Guarantor**", collectively, "**Guarantors**"), to and for the benefit of **CHICAGO TITLE LAND TRUST COMPANY**, not personally, but as trustee ("**Trustee**") under a trust agreement dated December 1, 2007 and known as Trust No. 1114334 ("**Trust**"), and its successors and assigns, and the beneficiary or beneficiaries from time to time of the Trust (Trustee, as trustee of the Trust and its successors and assigns and the beneficiary or beneficiaries from time to time of the Trust are hereinafter called "**Lessor**").

RECITALS

A. Trustee, as trustee of the Trust, is the lessor ("**Lessor**") under that certain Ground Lease dated as of December 1, 2007, under which North Shore Ice Arena, LLC ("**Lessee**") is presently the lessee (said ground lease and any and all present and future modifications and renewals or extensions thereof, amendments thereto and substitutions or replacements therefor, are referred to herein as the "**Lease**").

B. The Lease provides for the development of an ice hockey facility ("**Initial Project**") on a certain parcel of real estate in Northbrook, Illinois commonly known as Techny Real Estate Parcel EC-2C accordance with the Approved Plans for such Initial Project approved by Lessor as provided in the Lease.

C. Trustee, as Lessor, is unwilling to enter into the Lease unless Guarantors enter into this Guaranty, and Guarantors desire to provide this Guaranty to Trustee, in order to induce Trustee to enter into the Lease.

D. Guarantors have or will have a financial interest in Lessee and in the Initial Project, and will be benefited by the agreement of Trustee, as Lessor, to enter into the Lease.

E. Now, therefore, in consideration of the foregoing recitals and for the purpose of inducing Lessor to enter into the Lease, Guarantors hereby agree as follows:

1. **Definitions; Incorporation of Lease**. All capitalized terms used in this Guaranty and not otherwise defined herein shall have the meanings ascribed to them, respectively, in the Lease. All terms and provisions of the Lease are hereby incorporated into this Guaranty as fully as though set forth herein in full.

2. **Guaranty of Payment and Performance**.

(a) Guarantors hereby guarantee, absolutely and unconditionally, the following (hereinafter called the "**Lessee's Obligations**"):

Execution Version

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THIS GUARANTY (**"Guaranty"**) is made as of December 19, 2007, by **WILMETTE HOCKEY ASSOCIATION, INC.**, an Illinois not-for-profit corporation (**"Wilmette Guarantor"**) and **WINNETKA HOCKEY CLUB, INC.**, an Illinois not-for-profit corporation (**"Winnetka Guarantor"**) (each individually a **"Guarantor"**, collectively, **"Guarantors"**), to and for the benefit of **CHICAGO TITLE LAND TRUST COMPANY**, not personally, but as trustee (**"Trustee"**) under a trust agreement dated December 1, 2007 and known as Trust No. 1114334 (**"Trust"**), and its successors and assigns, and the beneficiary or beneficiaries from time to time of the Trust (Trustee, as trustee of the Trust and its successors and assigns and the beneficiary or beneficiaries from time to time of the Trust are hereinafter called **"Lessor"**).

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B. The Lease provides for the development of an ice hockey facility (**"Initial Project"**) on a certain parcel of real estate in Northbrook, Illinois commonly known as Techny Real Estate Parcel EC-2C accordance with the Approved Plans for such Initial Project approved by Lessor as provided in the Lease.

C. Trustee, as Lessor, is unwilling to enter into the Lease unless Guarantors enter into this Guaranty, and Guarantors desire to provide this Guaranty to Trustee, in order to induce Trustee to enter into the Lease.

D. Guarantors have or will have a financial interest in Lessee and in the Initial Project, and will be benefited by the agreement of Trustee, as Lessor, to enter into the Lease.

E. Now, therefore, in consideration of the foregoing recitals and for the purpose of inducing Lessor to enter into the Lease, Guarantors hereby agree as follows:

1. **Definitions; Incorporation of Lease**. All capitalized terms used in this Guaranty and not otherwise defined herein shall have the meanings ascribed to them, respectively, in the Lease. All terms and provisions of the Lease are hereby incorporated into this Guaranty as fully as though set forth herein in full.

2. **Guaranty of Payment and Performance**.

(a) Guarantors hereby guarantee, absolutely and unconditionally, the following (hereinafter called the **"Lessee's Obligations"**):

(i) the full and prompt performance, completion and observance by Lessee of each and all of the covenants and agreements required to be performed, completed and observed by Lessee under the terms and provisions of the Lease that are due to be performed, completed or observed, prior to or concurrently with Substantial Completion of the Initial Project, including, without limitation the applicable provisions of Article 5 of the Lease related to construction of the Initial Project and all related improvements, the lien-free completion of the Initial Project and related improvements at or prior to the Substantial Completion Date in accordance with the Submittals and Final Plans and Specifications and in conformity with all governmental requirements;

(ii) the full and complete payment of all costs and expenses needed or incurred for such lien-free and conforming completion, including (without limitation) the costs and fees of all architects, engineers, surveyors and other construction consultants retained by Lessee in connection therewith; and

(iii) the full and complete payment of all Rent and other money obligations of Lessee to Lessor under or pursuant to any provisions of the Lease that are due and payable on or prior to the Substantial Completion of the Initial Project.

(b) Guarantors will be obligated to commence the performance of those of the Lessee's Obligations set forth in Section 2(a)(i) above, including the lien-free Substantial Completion of the Initial Project at or prior to the Substantial Completion Date that have not been performed by Lessee, within thirty (30) Days after delivery by Lessor to Guarantors of a notice from Lessor of a failure on the part of Lessee in the performance of any one or more of the foregoing Lessee's Obligations, which may be prior to the dates specified above for complete performance by Lessee of such Lessee's Obligations and prior to the expiration of any applicable notice and cure or grace period afforded Lessee under the Lease if the Lessor believes that either (x) any changes made unilaterally by Lessee to its schedule for construction make it unlikely Lessee will be able to Substantially Complete by the applicable dates set forth in the Lease, or (y) any time periods set by Lessee in its schedule for construction for the accomplishment of any milestones or completion of any component of the Work are not reasonable in light of customary construction practices, critical path dependencies and the nature of such milestone or component. Thereafter, as promptly as practicable Guarantors shall proceed (either by themselves or by means of the Contractor or another general contractor, subcontractors, construction manager, or any combination thereof), to perform, complete and observe the Lessee's Obligations that are the subject of such Default, provided that any such general contractor (other than the Contractor), subcontractors or construction managers are experienced in constructing mixed-use/retail/commercial projects similar to the Initial Project and are reasonably satisfactory to Lessor or are of recognized standing in the construction industry in the Chicago metropolitan area) with all due diligence required to perform such Lessee's Obligations as promptly as practicable under the circumstances and no later than ninety (90) Days after the date specified in the Lease for Substantial Completion of the Initial Project.

(c) In addition, Guarantors will be obligated to perform, complete and observe each and all of the Obligations on or before the date that is thirty (30) Days after delivery by Lessor to Guarantors of a notice declaring that Lessee is in Default in the performance of any one or more of Lessee's Obligations in any material respect. As promptly as practicable after

such notice is given declaring Lessee to be in Default, and in any event prior to the time specified above for performance of the Obligations, Guarantors shall proceed, either by themselves or by means of a general contractor, subcontractors, construction manager, or any combination thereof, to perform, complete and observe each and all of the Obligations, provided that such general contractor, subcontractors and construction manager are reasonably satisfactory to Lessor or are of recognized standing in the construction industry in the Chicago metropolitan area.

(d) In connection with any such action by Guarantors, it will not be necessary for Lessor to exercise any right to terminate the Lease, and Lessor shall cooperate in good faith with Guarantors in Guarantors' efforts to succeed to the rights and obligations of Lessee under the Lease. Guarantors will take all action reasonably necessary to take possession of the Initial Project and to perform, complete and observe each and all of the Lessee's Obligations in order to achieve Substantial Completion of the Initial Project.

(e) In connection with the foregoing, Guarantors shall indemnify, defend and hold Lessor harmless from and against any and all costs, damages, losses, expenses, claims and demands of and liabilities to third parties, including attorneys' fees, incurred directly or indirectly as a result of or arising directly or indirectly out of the failure of Lessee to perform, complete or observe Lessee's Obligations and Guarantors' failure to perform or observe its obligations under this Guaranty. All obligations of Guarantors set forth in this Guaranty are collectively hereinafter referred to as the "**Obligations.**"

3. **Standard Waivers and Agreements**. Additional agreements and waivers of Guarantors that are usual and customary in a guaranty of payment and performance of the type provided for in this Guaranty are set forth in Exhibit 1 attached hereto, and are hereby incorporated in this Guaranty as fully as though set forth herein in full.

4. **Termination**. This Guaranty shall remain in full force and effect until all the Lessee's Obligations and the Obligations shall be finally and irrevocably paid in full or otherwise completed, performed or observed. Discontinuance of the obligations of any other guarantor shall not operate as a discontinuance as to performance, completion or observance of any of the Obligations or the Lessee's Obligations. If after receipt of any payment or performance of all or any part of the Lessee's Obligations, Lessor is for any reason compelled to surrender such payment to any Person or return any benefits received, because such payment or performance is determined to be void or voidable as a preference, impermissible setoff, or a diversion of trust funds, or for any other reason, this Guaranty shall continue in full force (as to any such surrendered payment or benefit returned) notwithstanding any contrary action that may have been taken by Lessor in reliance upon such payment or the receipt of such benefit, and any such contrary action so taken shall be without prejudice to Lessor's rights under this Guaranty and shall be deemed to have been conditioned upon such payment and benefit having become final and irrevocable. Upon satisfaction in full of the Lessee's Obligations, Lessor will, upon request by Guarantors, deliver to Guarantors written confirmation that this Guaranty has been satisfied in full and has terminated.

5. **Lessee's Financial Condition**. Guarantors assume full responsibility for keeping themselves sufficiently informed as to the financial condition of Lessee and as to all other

circumstances affecting Lessee's ability to perform, complete and observe each and all of Lessee's Obligations for the benefit of Lessor, and agrees that Lessor will have no duty to report to Guarantors any information Lessor receives about Lessee's financial condition or any circumstances bearing on Lessee's ability to perform.

6. **Expenses**. Guarantors agree to pay and reimburse Lessor, upon demand, for all losses and reasonable costs and expenses, including reasonable attorneys' fees, that Lessor may expend or incur

(a) in the enforcement of this Guaranty or any one or more of the Obligations or the Lessee's Obligations, or

(b) the performance by Lessor of any one or more of the Obligations or the Lessee's Obligations, or

(c) as a direct or indirect result of the falsity in any material respect of any of the representations in warranties of Guarantors set forth in paragraph 7 of this Guaranty, determined as of the date hereof.

7. **Representations and Warranties**. Each Guarantor hereby, severally and not jointly, makes to Lessor the following representations and warranties on its behalf, upon which Lessor specifically relies:

(a) Authorization. Wilmette Guarantor and Winnetka Guarantor each has full right, power and authority to enter into this Guaranty and carry out the Obligations, and concurrently with the execution and delivery of this Guaranty, will provide to Lessor a written opinion to such effect and as to the validity of this Guaranty as a binding obligation of Guarantors in form and substance, and from legal counsel, reasonably satisfactory to Lessor.

(b) No Conflict. The execution, delivery and performance by Guarantors of this Guaranty and the Obligations will not violate or be in conflict with, result in a breach of, or constitute a default under, any indenture, agreement or any other instrument to which either Wilmette Guarantor or Winnetka Guarantor is a party, or by which Wilmette Guarantor or any of its assets or properties is bound, or by which Winnetka Guarantor or any of its properties is bound, or any order, writ, injunction or decree of any court or governmental institution.

(c) Litigation. There are no actions, suits or proceedings pending, or to the knowledge of Wilmette Guarantor or Winnetka Guarantor, threatened against or adversely affecting either Wilmette Guarantor or Winnetka Guarantor at law or in equity or before or by a governmental agency or instrumentality that involve any of the transactions herein contemplated, or are reasonably likely to result in any judgment or liability that would have any material and adverse effect on the financial condition of either Guarantor. Guarantors are not in default with respect to any judgment, order, writ, injunction, decree, rule or regulation of any court.

(d) Enforceability. This Guaranty is a legal, valid and binding obligation of Guarantors, enforceable in accordance with its terms, except as enforceability may be limited by applicable bankruptcy, insolvency or similar laws affecting the rights of creditors generally.

(e) Corporate Affiliations. As of the date hereof, Guarantors' equity, membership or ownership interest in Lessee is as follows:

> Wilmette Guarantor is the sole member of Lessee. Wilmette Guarantor has entered into an agreement with Winnetka Guarantor whereby Winnetka Guarantor shall become holder of a 50% membership interest in Lessee upon receipt of a determination letter from the Internal Revenue Service confirming Lessee is exempt from Federal Income tax under section 501(c)(3) of the Internal Revenue Code, that contributions to Lessee are deductible under section 170 of the Internal Revenue Code, and that Lessee is qualified to receive tax deductible bequests, devises, transfers or gifts under section 255, 2106 or 2522 of the Internal Revenue Code.

Guarantors acknowledge that they will derive a material benefit from the satisfactory and complete payment, performance and observance of the Obligations and the Lessee's Obligations. No subsequent change in the ownership or equity interest described above shall affect or impair in any way the continuing validity or enforceability of this Guaranty against Guarantors. Until such time as the Lessee's Obligations and the Obligations have been finally and irrevocably paid in full or otherwise completed, performed or observed, Guarantors will not divest itself or otherwise sell or transfer any of the foregoing equity or ownership interests in Lessee, to the extent that doing so would constitute a default or breach of the prohibitions on assignment contained in the Lease.

8. **Notices**. All notices or other communications required or permitted hereunder shall be (a) in writing and shall be deemed given or delivered to the addressee thereof (i) when actually delivered at the address set forth below for such addressee, (ii) three Days after deposit in any main or branch United States post office as registered or certified mail, postage prepaid, (iii) one Day after deposit with a reputable overnight courier service providing delivery receipts, delivery charges prepaid, or (iv) on the date on which the addressee refuses delivery by mail or by private courier service, in each case properly addressed to the parties, respectively, as follows:

For notices and communications to Lessor:
Chicago Title Land Trust Company,
as Trustee of Trust No. 1114334
181 West Madison, 17th Floor
Chicago, Illinois 60602
Attention: Land Trust Department

and to (if by personal service or by courier service):
Divine Word Techny Community Corporation
1985 Waukegan Road
Northbrook, Illinois 60062
Attention: Chairman, Techny Land Committee

or to (if by mail):

Divine Word Techny Community Corporation
P.O. Box 6038
Techny, Illinois 60062-6038
Attention: Chairman, Techny Land Committee

with a copy to:

Schiff Hardin LLP
6600 Sears Tower
233 South Wacker Drive
Chicago, Illinois 60606
Attention: Janet M. Johnson

For notices and communications to Guarantors:

Wilmette Hockey Association, Inc.
P.O. Box 477
Wilmette, Illinois 60091
Attention: Chuck Smith and Alan Roth

and to:

Winnetka Hockey Club, Inc.
490 Hibbard Drive
Winnetka, Illinois 60093
Attention: David Bower, President

with a copy to:

Greenberg Traurig LLP
77 West Wacker Drive, Suite 2500
Chicago, Illinois 60601
Attention: Richard Sirus

By notice complying with the preceding provisions of this paragraph, each party shall have the right to change the address or addresses, or both, for all future notices and communications to such party or for copies of notices provided for above (none of which shall be required to be sent via certified or registered mail), but no such notice of a change of an address or addressee shall be effective until actually received by the other party. Copies of notices to the those Persons to whom copies are to be provided, none of which are required to be sent via courier or other delivery service or by certified or registered mail, are for information purposes only; failure of any Person to send or receive any such copy shall not affect the validity of notice otherwise given to a party in compliance with the provisions of this paragraph.

9. **Affirmative Covenants**. Each Guarantor covenants and agrees that from the date hereof and so long as any of the Obligations or Lessee's Obligations remain outstanding and unpaid, unperformed or unobserved Guarantors will furnish to Lessor as soon as available, but in any event not later than one hundred eighty (180) days after the end of each fiscal or calendar

year of each such Guarantor, audited year-end financial statements of each such Guarantor certified as true and correct by each such Guarantor. In addition, each Guarantor covenants and agrees that such Guarantor shall furnish to Lessor not more than thirty (30) days following written request from Lessor such other reports, financial statements and other financial information concerning such Guarantor as Lessor may from time to time reasonably request.

10. **Partial Invalidity**. If any term of this Guaranty or the application thereof to any Person or circumstance shall, to any extent, be declared or found by a court of competent jurisdiction to be invalid or unenforceable, the remaining provisions of this Guaranty, or the application of such term or provision to persons or circumstances other than those as to which it is held invalid or unenforceable, shall not be affected thereby, but such provision or portion thereof shall be deemed stricken and severed from this Guaranty and the remaining provisions and portions hereof shall be interpreted, applied and enforced so as to achieve, as near as may be, the purposes and intent of this Guaranty to the greatest extent not prohibited by law.

11. **Amendments**. This Guaranty may be amended, modified, revised, revoked or terminated only by a written instrument executed by Guarantors and Lessor.

12. **Terms**. Whenever the context requires, all terms used in the singular will be construed in the plural and vice versa, and each gender will include each other gender. The term "Lessee" means both the named Lessee and any other person or entity at any time assuming or otherwise becoming primarily liable for performance of any of the Lessee's Obligations.

13. **Section Headings**. The headings, titles and captions of this Guaranty are inserted only as a matter of convenience and in no way define, extend, limit or describe the scope or intent of this Guaranty.

[Signature Page Follows]

IN WITNESS WHEREOF, Wilmette Guarantor has executed this instrument as of the day and year first above written.

WILMETTE HOCKEY ASSOCIATION, INC.,
an Illinois not-for-profit corporation

By: ALAN B. ROTH
Its: VICE PRESIDENT

COPY

Attest:

Its:

ACKNOWLEDGMENT

STATE OF ILLINOIS)
) SS.
COUNTY OF COOK)

This instrument was acknowledged before me on December 20, 2007, by ALAN B. Roth, as Vice President of WILMETTE HOCKEY ASSOCIATION, INC., an Illinois not-for-profit corporation.

Notary Public

My Commission Expires:

"OFFICIAL SEAL"
JOSEPHINE SIMON
Notary Public, State of Illinois
My Commission Expires May 1, 2010

[Signature Pages Continue]

IN WITNESS WHEREOF, Winnetka Guarantor has executed this instrument as of the day and year first above written.

WINNETKA HOCKEY CLUB, INC., an Illinois not-for-profit corporation

By: Eric Litvendahl

Its: Vice President

COPY

Attest: _____

Its: _____

ACKNOWLEDGMENT

STATE OF ILLINOIS)
) SS.
COUNTY OF COOK)

This instrument was acknowledged before me on December 20 2007, by Eric Litvendahl, as Vice Pres. of WINNETKA HOCKEY CLUB, INC, an Illinois not-for-profit corporation.

Donna M. Wrobel
Notary Public

My Commission Expires:

"OFFICIAL SEAL"
DONNA M. WROBEL
Notary Public, State of Illinois
My Commission Expires 08/10/09

List of Exhibits

Exhibit 1 – Standard Guaranty Waivers and Agreements

Exhibit 1

Standard Guaranty Waivers And Agreements

The following additional waivers and agreements by Guarantor have been and are hereby incorporated in full into the Guaranty of Payment and Performance of Ground Lease Obligations (the "**Guaranty**") dated December __, 2007.

(a) **Rights of Lessor**. Guarantor authorizes Lessor and Lessee at any time in their discretion to alter any of the Lessee's Obligations, and further authorizes Lessor (a) to take and hold any security for the Lessee's Obligations; (b) to accept additional or substituted security; (c) to subordinate, compromise or release any security; (d) to release Lessee of liability for all or any part of the Lessee's Obligations; (e) to release, substitute or add any one or more guarantors; (f) to assign the Guaranty in whole or in part to an assignee of the Lease; and (g) to complete (but Guarantor agrees that Lessor shall not have any obligation to complete) all unfinished work in connection with the Initial Project or otherwise to perform any of the Obligations or Lessee's Obligations. Lessor may take any of the foregoing actions upon any terms and conditions as Lessor may elect, without giving notice to Guarantor or obtaining the consent of Guarantor and without affecting the liability of Guarantor to Lessor under this Guaranty.

(b) **Continuing Guaranty**. The Guaranty shall be a continuing guaranty, and shall not be discharged, impaired or affected by: (a) existence or non-existence, or the continuance or non-continuance, of any obligation on the part of Lessee with respect to the Lease; (b) any forbearance or extension of the time of payment or performance of any of the Obligations or the Lessee's Obligations; (c) any and all changes in the terms, covenants or conditions of the Lease or of any document evidencing or securing performance of the Obligations or Lessee's Obligations hereafter made or granted; (d) the release or agreement not to sue without reservation of rights of anyone liable in any way for payment or performance of any of the Obligations or Lessee's Obligations; (e) the power or authority or lack thereof of Lessee to enter into, or to execute, acknowledge or deliver the Lease; (f) the validity or invalidity of the Lease or any portion thereof; (g) any defenses whatsoever that Lessee or any other Person may have to the performance or observance of any of the Obligations or the Lessee's Obligations; (h) the existence or non-existence of Lessee as a legal entity; (i) any limitation or exculpation of liability of Lessee that may be expressed in the Lease; (j) the transfer by Lessee of all, or any part of any interest in all or any part of the Premises or the Initial Project described in the Lease; (k) any sale, pledge, surrender, indulgence, alteration, substitution, exchange, release, partial release, modification or other disposition of any of the collateral or other security from time to time or at any time securing Lessee's Obligations, all of which Lessor is expressly authorized to make from time to time; (l) the acceptance by Lessor of part of performance of the Lessee's Obligations, or any failure, neglect or omission on the part of the Lessor to realize on, preserve or protect any portion of the Premises or Initial Project, or any personal property of Lessee or to exercise any lien upon, or right of appropriation of, any monies, credits or property of Lessee toward liquidation of the Lessee's Obligations; (m) the failure by Lessor or anyone acting on behalf of Lessor to perfect or maintain perfection of any lien or security interest upon any collateral given at any time to secure the payment of the Obligations or Lessee's Obligations; (n) any right or claim whatsoever that Guarantor may have against Lessee or Lessor or the successors or assigns

of any of them or any change in control, ownership or affiliation among any Guarantor and Lessee; or (o) any defense (other than the payment, performance or observance in full of all of the Obligations and Lessee's Obligations) that Guarantor may have as to its undertakings, liabilities and Obligations hereunder, including any defenses based upon any legal disability of Lessee or any discharge or limitation of the liability of Lessee to Lessor, whether consensual or arising by operation of law or any bankruptcy, insolvency or debtor-relief proceeding, or from any other cause, each and every such defense being hereby waived by Guarantor.

(c) **Waivers**. Guarantor waives diligence, presentment, protest, notice of dishonor, demand for payment, extension of time of payment, notice of acceptance of this Guaranty, notice of intent to accelerate or notice of acceleration, non-payment or non-performance by Lessee and indulgences, grace periods and notices of every kind. It is the intention of this Guaranty that Guarantor shall remain liable as a principal, notwithstanding any act, omission or thing that might otherwise operate as a legal or equitable discharge of Guarantor, until all of the Lessee's Obligations and the Obligations shall have been fully performed or paid.

(d) **Performance Upon Default**. Upon the occurrence of a Default on the part of Lessee in the performance of any of the Lessee's Obligations, Guarantor hereby agrees to perform each and all of the Obligations the non-performance of which constitute such Default: (a) without deduction by reason of any setoff, defense or counterclaim of Lessee or any other Person; (b) without requiring protest or notice of non-payment or notice of default to Guarantor, to Lessee or to any other Person; (c) without demand for payment or proof of such demand; (d) without requiring Lessor to resort first to Lessee or to any other guarantor, guaranty or any collateral which Lessor may hold; (e) without requiring notice of acceptance of the Guaranty or assent to the Guaranty by Lessor; and (f) without requiring notice that any Lessee's Obligations have been incurred by Lessee pursuant to the terms of the Lease or of the reliance by the Lessor upon the Guaranty. Guarantor hereby waives the requirement that Lessor comply with any of the foregoing demands, actions or notices and the right to assert Lessor's failure to so comply as a defense to the enforcement of the Guaranty.

(e) **Subrogation**. Notwithstanding anything to the contrary elsewhere contained herein or in the Lease, until such time as the Obligations and Lessee's Obligations shall have been fully performed, observed or paid, Guarantor expressly waives with respect to Lessee and any other Person, any and all rights at law or in equity to subrogation, to reimbursement, to contribution, to setoff or to any other rights that could accrue to a surety against a principal, to a guarantor against a maker or obligor, to an accommodation party against the party accommodated, or to a holder or transferee against a maker, and that Guarantor may have or hereafter acquire against Lessee or any other Person in connection with or as a result of Guarantor's execution, delivery and/or performance of this Guaranty, the Obligations or the Lessee's Obligations. Guarantor agrees that it shall not have or assert any such rights against Lessee or its successors and assigns or any other Person (including any surety), either directly or as an attempted setoff to any action commenced against Guarantor by Lessee (as lessee or in any other capacity) or any other Person. Guarantor hereby acknowledges and agrees that this waiver is intended to benefit Lessee and shall not limit or otherwise affect Guarantor's liability hereunder or the enforceability hereof.

(f) **Independent Obligations**. Lessor may enforce the Guaranty without first resorting to or exhausting any other remedy it may have under the Lease or other security or collateral, or without first having recourse to any of the Premises or the Initial Project through forcible entry and detainer proceedings or otherwise; provided, however, that nothing herein contained shall preclude Lessor from suing Lessee under the Lease, from terminating the Lease, from exercising any other rights, remedies or powers under the Lease or from enforcing performance of the Obligations or the Lessee's Obligations, and if such rights, powers or remedies are availed of, only the net proceeds therefrom, after deduction of all charges and expenses of every kind and nature whatsoever, shall be applied in reduction of the Lessee's Obligations; and Lessor shall not be required to institute or prosecute proceedings to recover any deficiency as a condition of any payment or performance hereunder or enforcement hereof. At any sale of any security or collateral for the Lessee's Obligations, whether by foreclosure or otherwise, Lessor may, at its discretion, purchase all or any part of such security or collateral offered for sale for its own account, and may apply against the amount bid therefor the unpaid amount or any part thereof due it pursuant to the terms of the Lease.

(g) **Effect of Bankruptcy**. The Guaranty shall continue in full force and effect notwithstanding the institution by or against Lessee of bankruptcy, reorganization, readjustment, receivership or insolvency proceedings of any nature, or the disaffirmance of the Lease in any such proceedings, or otherwise. Guarantor shall not seek or have the right to obtain any relief or order from any bankruptcy or other court of any jurisdiction the effect of which is to enjoin, postpone, delay or otherwise prevent or hinder the enforcement of Lessor's rights under the Guaranty, and Guarantor shall be estopped from asserting and hereby waives any right to assert in any such liquidation or reorganization that Guarantor's financial contribution or efforts are necessary to the reorganization or liquidation of Lessee.

(h) **Right of Set-Off**. Without limiting any other right of Lessor, whenever Lessor has the right to declare any of the Lessee's Obligations to be immediately due and payable (whether or not it has so declared), Lessor at its sole election may set off against the Lessee's Obligations any and all moneys then owed to Guarantor by Lessor in any capacity, whether or not the obligation to pay such moneys owed by Lessor is then due, and Lessor shall be deemed to have exercised such right of setoff immediately at the time of such election even though any charge thereof is made or entered on Lessor's records subsequent thereto.

(i) **Delay; Cumulative Remedies**. No delay or failure by Lessor to exercise any right or remedy against Lessee or Guarantor will be construed as a waiver of that right or remedy. All remedies of Lessor against Lessee and Guarantor are cumulative.

(j) **Binding Effect**. The Guaranty shall inure to the benefit of and may be enforced by Lessor, and shall be binding upon and enforceable against Guarantor and Guarantor's heirs, legal representatives, successors and assigns. In the event of the death of any individual Guarantor, the Obligations of such Guarantor shall continue in full force and effect against his or her estate, personal representatives, successors and assigns. Without limiting the generality of the foregoing, Lessor (or its successors and assigns) may from time to time and without notice to the undersigned, assign any and all of its rights under this Guaranty without in any way affecting or diminishing the Obligations of Guarantor hereunder, who shall continue to remain bound by

and obligated to perform under and with respect to this Guaranty as though there had been no such assignment.

(k) **Time is of the Essence**. Time is of the essence of the Guaranty as to the performance of the Guarantor and Lessee.

(l) **Applicable Law; Venue**. The Guaranty and the transactions evidenced hereby shall be construed and interpreted under the laws of the State of Illinois. Guarantor, in order to induce Lessor to accept this Guaranty and enter into the Lease, and for other good and valuable consideration, the receipt and sufficiency of which hereby is acknowledged, agrees that all actions or proceedings arising directly, indirectly or otherwise in connection with, out of, related to or from the Guaranty shall be litigated, at Lessor's sole discretion and election, only in courts having a situs within the County of Cook, State of Illinois, or the United States District Court for said county. Guarantors hereby waive any right they may have to transfer or change the venue of any litigation brought against them by Lessor on the Guaranty in accordance with this paragraph. This provision is a material inducement for Lessor to enter into the Lease.

(m) **Multiple Guarantors, Joint and Several Liability**. If more than one Person executes this Guaranty (whether concurrently or at any time in the future, or whether the same document or a different document guaranteeing the same Lessee's Obligations), the obligations of all such Persons shall be joint and several (except as to breaches of the representations and warranties contained in paragraph 7 of the Guaranty and except as to breaches of the agreements and representations contained in paragraph (n) below, as to which each Guarantor shall be severally liable for breaches) and Lessor, in its sole and absolute discretion, may (a) bring suit against Guarantors, or any one or more of the Persons constituting Guarantors, and any other person or Persons guaranteeing any or all of the Lessee's Obligations ("**Other Guarantor**"), jointly and severally, or against any one or more of them; (b) compromise or settle with any one or more of the Persons constituting Guarantors or any Other Guarantor for such consideration as Lessor may deem proper; (c) release one or more of the Persons constituting Guarantors or any Other Guarantor from liability; and (d) otherwise deal with Guarantors and any Other Guarantor, or any one or more of them, in any manner, and no such action shall impair the rights of Lessor to enforce any of the Obligations or to collect from Guarantors any amount due from Guarantors under this Guaranty. Nothing contained in the Guaranty or any other guaranty shall in any way affect or impair the rights or obligations of Guarantors with respect to any Other Guarantor.

(n) **Compliance with Executive Orders**. Each Guarantor acknowledges and agrees that such Guarantor, and all beneficial owners, managers, executive officers and directors of such Guarantor, must be in compliance with all applicable Governmental Requirements applicable to such Persons, including, without limitation, the requirements of Executive Order No. 13224, 66 Fed. Reg. 49079 (Sept. 25, 2001) (the "**Order**") and other similar requirements contained in the rules and regulations of the Office of Foreign Asset Control, Department of the Treasury ("**OFAC**") and in any enabling legislation enacted or other Executive Orders issued with respect thereto or with respect to the subject matter of the Order (the Order and such other rules, regulations, legislation, or orders are collectively called the "**Orders**"). To assure Lessor that, as of the Effective Date, each Guarantor and all such beneficial owners, managers, executive officers and directors are in compliance with the Orders, each Guarantor represents and warrants

that neither Guarantor nor any of the beneficial owners, managers, executive officers or directors of such Guarantor:

(i) is listed on the Specially Designated Nationals and Blocked Persons List maintained by OFAC pursuant to the Order or on any other list of terrorists or terrorist organizations maintained pursuant to any of the rules and regulations of OFAC or pursuant to any other applicable Orders (such lists are collectively referred to as the "**Lists**");

(ii) has been indicted or arrested for money laundering or for predicate crimes to money laundering, convicted or pled nolo *contendere* to charges involving money laundering or predicate crimes to money laundering;

(iii) has been determined by competent authority to be subject to the prohibitions contained in the Orders; or

(iv) is owned or controlled by, nor acts for or on behalf of, any Person on any of the Lists or any other Person who has been determined by competent authority to be subject to the prohibitions contained in the Orders.

In addition, during the time this Guaranty is in effect and until all of the Obligations have been paid or performed in full, neither Guarantor shall (x) transfer or permit the transfer of any interest in Guarantor or in any of Guarantor's beneficial owners to any Person who is, or whose beneficial owners are, listed on any of the Lists; or (y) assign the Obligations to or permit the Obligations to be assumed by any Person who is listed on any of the Lists or who is engaged in illegal activities prohibited by the Orders. Further, if either Guarantor or any of the beneficial owners, managers, executive officers or directors of such Guarantor (a) become listed on any of the Lists, (b) are indicted, arraigned, or detained in custody on charges involving money laundering or predicate crimes to money laundering, convicted or plead *nolo contendere* to charges involving money laundering or predicate crimes to money laundering, (c) are determined by competent authority to be subject to the prohibitions contained in the Orders, or (d) become owned or controlled by, or act for or on behalf of, any Person on any of the Lists or any other Person who has been determined by competent authority to be subject to the prohibitions contained in the Orders (each, a "**Triggering Event**"), such Guarantor shall immediately notify Lessor, but in no event later than five (5) Business Days after the occurrence of the Triggering Event, and such Guarantor shall have ten (10) Business Days following the date of the occurrence of the Triggering Event to remove all such Person from any interest in and any manager, executive officer and director positions within Lessee. Failure to do so within such ten (10) Business Day period shall be a Default under the Lease and a default under this Guaranty.

Approved by Guarantors:

(VP)

Initials of Wilmette Guarantor

(VP)

Initials of Winnetka Guarantor

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